



'COMPANIES CONTROLLED COSTS IN FY25'

Bank of Baroda Chief Economist Madan Sabnavis on why the impact of RBI's rate cuts will depend on demand across specific industries in FY26

BY RAHUL OBEROI

IN AN INTERACTION with *Business Today*, Madan Sabnavis, Chief Economist, Bank of Baroda, talks about the factors behind India Inc's performance and why forex volatility is a persistent concern for Indian companies, especially since Donald Trump became the US President. Edited excerpts:

▶▶▶ **How do you assess the overall financial health of India Inc?**

The financial health of India Inc has improved significantly in recent years. One of the key indicators of this is the interest coverage ratio,

which has remained steady at six-seven times. That's a strong signal that corporates are comfortably meeting their interest obligations, despite operating in a high-interest rate environment, especially with the repo rate being at elevated levels over the last couple of years.

While corporate profitability hasn't been uniformly strong—owing to sector-specific demand challenges—the overall improvement in the interest coverage ratio reflects financial resilience.

This trend is further supported by the low levels of non-performing

assets (NPAs) in the banking system, which indicates that the repayment capacity has remained robust.

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Are Indian companies better equipped to handle global shocks?

When we talk about global tensions, one of the biggest challenges for Indian corporates is the volatility in foreign exchange rates. While global commodity prices—barring crude oil—have largely been stable and are even trending downward in 2025, forex volatility remains a persistent concern, especially since

the time of the Trump administration.

The cost of hedging has become a critical issue, and many Indian companies don't maintain fully hedged positions, which leaves them exposed to currency fluctuations. While Indian industry is predominantly domestic-focused and somewhat insulated from global trade shocks, certain export-oriented sectors—like pharmaceuticals, gems and jewellery, readymade garments, and to some extent electronics—could still face the impact of global tariff barriers or demand shifts. While India Inc. is rela-



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